LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is PSU Vendor Financing ?

A Comprehensive Masterclass & Strategic White Paper Guide on Public Sector Undertaking Supply Chain Financing, TReDS Platform Integration, Reverse Factoring, and Working Capital Optimization in India

Developed by www.loanbazaaronline.com

Executive Summary

PSU Vendor Financing represents a specialized, anchor-led supply chain finance and bill discounting mechanism engineered specifically for Micro, Small, and Medium Enterprises (MSMEs) and corporate vendors supplying goods, equipment, and services to Indian Public Sector Undertakings (PSUs), Central Public Sector Enterprises (CPSEs), Navratna/Maharatna conglomerates, and Government Ministries. By leveraging the near-sovereign credit quality of the PSU buyer (the Anchor Obligor), financial institutions—including commercial banks, NBFCs, and RBI-regulated Trade Receivables Discounting System (TReDS) platforms—advance immediate liquidity (80% to 90%+ of invoice value) to vendors against accepted invoices, shifting the primary credit underwriting focus from the vendor's balance sheet to the PSU anchor's robust credit standing.

This white paper delivers an authoritative, end-to-end masterclass covering the legal, regulatory, operational, and financial dimensions of PSU Vendor Financing in India. Designed to equip finance professionals, corporate treasurers, MSME founders, and credit underwriters with complete domain mastery, this document explores the product architecture, regulatory mandates under the MSMED Act 2006 and TReDS frameworks, underwriting benchmarks, escrow ring-fencing, tax engineering, legal enforcement, and a comprehensive real-world case study modeled in Indian Rupees (INR).

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Table of Contents

Module	Chapter Name	Page No
Module 1	Product Overview & Core Fundamentals	4
Module 2	Product Architecture & Structural Mechanics	7
Module 3	Regulatory, Legal & Statutory Framework in India	9
Module 4	Common Eligibility Criteria & Underwriting Benchmarks	10
Module 5	Security Architecture & Legal Documentation Suite	11
Module 6	Indicative Tenure, Pricing Structure & Cost Savings	12
Module 7	Suitable Industries, Business Profiles & Use Cases	13
Module 8	Key Advantages and Structural Limitations	14
Module 9	Comprehensive Real-World Case Study (INR 100 Crore Facility)	15
Module 10	Legal Enforcement, Dispute Resolution & IBC Integration	17
Module 11	Rookie Mastery Examination (15 Test Q&As)	18

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 1: Product Overview & Core Fundamentals

1.1 Definition and Core Essence of PSU Vendor Financing

PSU Vendor Financing is a structured, short-term working capital facility that enables vendors and contractors supplying goods or services to Public Sector Undertakings (PSUs) to convert their certified receivables and unpaid invoices into immediate cash. Rather than waiting 60, 90, or 180 days for government department processing and treasury disbursements, the vendor receives early payment from a financier at a discounted rate. Upon invoice maturity, the PSU anchor settles the full invoice amount directly with the financier.

1.2 The Tripartite Operational Ecosystem

The architecture of PSU Vendor Financing relies on an interconnected, three-party structural framework:

- **1. The PSU Corporate Anchor:** The Public Sector Undertaking (e.g., BHEL, NTPC, ONGC, Indian Railways, HAL, IOCL) that issues purchase orders, inspects supplied goods, certifies Running Account (RA) bills, and commits to direct invoice settlement.
- **2. The Vendor / Supplier:** The MSME or corporate supplier providing specialized components, raw materials, EPC contracting, or maintenance services, holding approved credit claims against the PSU.
- **3. The Financier / Discounting Partner:** Scheduled Commercial Banks, Private Credit NBFCs, or electronic TReDS platforms (RXIL, M1xchange, Invoicemart) that underwrite the PSU anchor, discount the vendor's invoice, and advance early liquidity.

1.3 The Sovereign/PSU Credit Risk vs. Operational Delay Dichotomy

A fundamental principle of PSU Vendor Financing is the sharp distinction between default risk and delay risk:

- **Credit Default Risk (Near Zero):** Central PSUs (Maharatnas, Navratnas) and Government Departments possess sovereign or near-sovereign credit quality. The probability of ultimate non-payment or credit default is virtually zero.
- **Operational & Administrative Delay Risk (High):** Due to multi-tiered administrative bureaucracies, technical inspections, measurement book (MB) entries, budget allocations, and Drawing & Disbursing Officer (DDO) sign-offs, payment timelines frequently stretch from 60 days to over 180 days.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

PSU Vendor Financing effectively decouples payment delay from credit risk, allowing financiers to price facilities based on the PSU's pristine credit rating while bridging the vendor's cash flow gap.

1.4 Evolution of PSU Supply Chain Financing in India

Supply chain financing for government vendors in India has undergone a dramatic structural evolution:

- **1. Legacy Era (Pre-2015):** Vendors relied on traditional paper-based Inland Bill Discounting (IBD) or Letters of Credit (LCs), requiring physical bill submission, cumbersome manual DDO notices, and heavy collateral demands.
- **2. Regulatory Digitalization (2015-2020):** The Reserve Bank of India (RBI) introduced Trade Receivables Discounting System (TReDS) guidelines, establishing institutional digital exchanges for MSME invoice discounting.
- **3. The Modern Era (2021-2026):** Statutory mandates under the MSMED Act 2006 and Central Public Enterprises Directives made TReDS onboarding mandatory for all CPSEs with turnover > INR 500 Crores. Today, AI-driven digital invoicing, automated ERP integration, and instant TReDS bidding provide frictionless, non-recourse vendor liquidity.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

1.5 Comparative Product Architecture Matrix

The table below highlights the structural differences between PSU Vendor Financing, Cash Credit (CC) Facilities, Commercial Factoring, and Unsecured Business Loans:

Parameter	PSU Vendor Financing	Cash Credit (CC) Facility	Commercial Factoring	Unsecured Business Loan
Primary Credit Basis	PSU Anchor Credit Quality (AAA/AA)	Vendor Balance Sheet & Fixed Assets	Commercial Buyer Credit Rating	Vendor Personal Income & CIBIL
Collateral Requirement	Zero Physical Collateral (Invoice Only)	Primary Current Assets + Mortgage	Hypothecation of Receivables	Nil (High Interest Rate Risk)
All-In Interest Rate	7.50% - 10.50% p.a.	11.00% - 14.50% p.a.	13.00% - 18.00% p.a.	18.00% - 28.00% p.a.
Disbursement Velocity	24 to 48 Hours (TReDS Instant)	30 to 60 Days Assessment	7 to 14 Days Onboarding	3 to 7 Business Days
Balance Sheet Impact	Off-Balance Sheet / Debt Neutral	Direct On-Balance Sheet Debt	On-Balance Sheet Liability	Direct Leverage Expansion
Recourse Structure	Limited / Non-Recourse (TReDS)	Full Recourse to Vendor	Recourse or Non-Recourse	Full Personal Recourse

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 2: Product Architecture & Structural Mechanics

2.1 Pre-Approved Anchor-Led Supply Chain Architecture

Unlike vendor-initiated loan applications where each supplier undergoes independent credit evaluation, PSU Vendor Financing operates under a reverse-factoring or anchor-led umbrella structure. The financier sets up an aggregate master limit for the PSU (e.g., INR 500 Crores for BHEL or NTPC). Individual vendors supplying to that PSU are automatically onboarded under sub-limits without requiring individual financial audits or property collateral.

2.2 Reverse Factoring vs. Direct Vendor Discounting

- **Reverse Factoring (Anchor-Confirmed):** The PSU anchor directly uploads or digitally confirms accepted invoices on the financing portal/TReDS platform. Financiers bid competitively, and payment is disbursed directly to the vendor with zero recourse to the vendor upon PSU invoice approval.
- **Direct Vendor Discounting:** The vendor submits certified Running Account (RA) bills directly to the bank alongside an acknowledged Notice of Assignment served on the PSU Drawing & Disbursing Officer (DDO). Financiers advance funds with limited recourse to the vendor pending final PSU settlement.

2.3 Step-by-Step Transaction Workflow

The operational cycle of a PSU Vendor Financing transaction follows a rigorous six-stage protocol:

- **1. Order Execution & Supply:** PSU issues a formal Purchase Order (PO) or Contract Agreement for goods/services to the empaneled vendor.
- **2. Billing & Certification:** Vendor delivers supplies, obtains Goods Receipt Note (GRN) or Measurement Book (MB) certification, and issues a tax invoice.
- **3. Digital Invoice Upload:** Vendor or PSU uploads the certified tax invoice onto the TReDS portal or bank supply chain portal.
- **4. Anchor Acceptance:** PSU finance department verifies and digitally approves the invoice, confirming unencumbered payment liability.
- **5. Instant Liquidity Disbursement:** Financiers auto-discount the invoice, deducting the prorated interest rate, and credit 85%–95% funds directly into the vendor's bank account within 24 hours.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

- **6. Treasury Settlement:** Upon invoice maturity (e.g., Day 90), PSU treasury remits 100% of the invoice value directly into the financier's Escrow Nodal Account, closing the transaction cycle.

2.4 TReDS Digital Platform Integration (RXIL, M1xchange, Invoicemart)

The Trade Receivables Discounting System (TReDS) is an RBI-regulated institutional mechanism designed to facilitate MSME invoice discounting from government buyers and PSUs. Three central exchanges operate in India: Receivables Exchange of India Ltd. (RXIL), M1xchange (Mynd Solutions), and Invoicemart (A.TREDS). Key TReDS features include:

- **Competitive Transparent Bidding:** Invoices accepted by PSUs are visible to multiple banks and NBFCs, driving competitive bidding and lowering interest rates to near-sovereign levels (7.50% - 9.0% p.a.).
- **Seamless Digital Execution:** Once a bid is accepted by the MSME vendor, discounting happens without requiring physical paperwork or branch visits.
- **Non-Recourse Protection:** Transactions executed on TReDS are structured on a non-recourse basis to the MSME vendor, protecting the vendor from subsequent PSU administrative delays.

2.5 Priority Escrow Nodal Account Cash Waterfall

To prevent cash leakage and ensure absolute debt servicing, payments from the PSU anchor are routed strictly through a designated Escrow TRA Nodal Account governed by a tripartite agreement:

PSU Treasury Remittance -> Escrow Nodal Account -> Priority 1: Financier Discounting Principal & Interest -> Priority 2: Unutilized Margin Balance Released to Vendor.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 3: Regulatory, Legal & Statutory Framework in India

3.1 MSMED Act 2006 (Section 15, 16 & Mandatory 45-Day Mandate)

The Micro, Small and Medium Enterprises Development (MSMED) Act, 2006 provides powerful statutory protection for MSME vendors supplying to PSUs:

- **Section 15 (Mandatory Payment Period):** Mandates that buyers (including PSUs and government departments) must make payment for goods/services within the period agreed upon, which cannot exceed 45 days from the day of acceptance.
- **Section 16 (Compounding Penal Interest):** Stipulates that if the buyer fails to pay within 45 days, the buyer is statutorily liable to pay compound interest with monthly rests at three times the RBI Bank Rate on the delayed amount.

3.2 Factoring Regulation Act 2011 & 2021 Amendments

The Factoring Regulation (Amendment) Act, 2021 revolutionized supply chain finance in India:

- **Broadened Financier Participation:** Removed restrictive eligibility criteria, allowing all non-deposit taking NBFCs to engage in factoring business, expanding market liquidity.
- **Mandatory CERSAI Registration:** Mandates that every factoring transaction or invoice assignment must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal within 13 days, establishing undisputed legal priority.

3.3 Public Procurement Policy for MSEs Order 2012

The Central Government mandates that Central Ministries, Departments, and CPSEs must procure a minimum of 25% of their total annual purchases from Micro and Small Enterprises (MSEs), with specific sub-targets for SC/ST and women entrepreneurs. This policy guarantees a massive, perpetual order pipeline for MSME vendors supplying to PSUs.

3.4 Companies Act 2013 & General Financial Rules (GFR 2017)

- **Section 77 (ROC Charge Registration):** Requires registration of charges created on company receivables (Form CHG-1) with the Registrar of Companies (ROC) within 30 days of execution.
- **GFR 2017 Rule 171 (Government Procurement):** Governs public procurement principles, requiring PSUs to maintain transparent tender processes, measurement books, and prompt contractor bill certifications.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

4.1 PSU Anchor Credit Tiering Matrix

Financiers establish vendor financing limits and pricing based on the credit classification of the PSU anchor obligor:

PSU Obligor Category	Representative Entities	Target LTV Ratio	All-In Pricing Range	Underwriting Approval Focus
Tier 1: Maharatna / Navratna CPSEs	BHEL, NTPC, ONGC, IOCL, POWERGRID, SAIL, HAL	85% - 95%	7.50% - 8.75% p.a.	Anchor Treasury Limit & Automated GRN Acceptance
Tier 2: Miniratna & Category-I CPSEs	IRCTC, BDL, Cochin Shipyard, KIOCL, ITDC	80% - 90%	8.50% - 9.75% p.a.	Operational Continuity & Invoice Certification
Tier 3: State PSUs & Infrastructure Boards	State DISCOMs, State Road Dev Corps, Water Boards	70% - 80%	9.75% - 11.50% p.a.	Escrow Ring-Fencing & Specific Budget Allocations
Tier 4: Municipal Corporations & Local Bodies	Smart City SPVs, Municipal Corporations	65% - 75%	11.00% - 13.00% p.a.	Dedicated State Grant Escrows & Strict Legal Covenants

4.2 Vendor / Supplier Eligibility Criteria

- **Operating History:** Minimum 2 to 3 years of active commercial operations with a verified supply track record.
- **PSU Empanelment:** Empaneled vendor with active Purchase Orders (POs) from recognized PSUs or CPSEs.
- **Credit Standing:** Clean CIBIL Commercial bureau record with zero wilful defaults or SMA-2 classifications.
- **GST Compliance:** Active GST registration with 100% GSTR-1 and GSTR-3B tax filing compliance.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 5: Security Architecture & Legal Documentation Suite

5.1 Security Package & Collateral Ring-Fencing

PSU Vendor Financing is an asset-light, cash-flow-backed product that does not require primary land or building mortgages. The security package relies on contractual ring-fencing:

- **Assignment of Receivables:** First pari-passu legal assignment of invoice claims and receivables arising from specified PSU purchase orders.
- **Notice of Assignment & DDO Acknowledgment:** Formal notice served on the PSU Drawing & Disbursing Officer (DDO) instructing direct payment into the lender's escrow account.
- **Escrow TRA Account:** Lender-controlled Escrow TRA Account receiving 100% of PSU bill disbursements.
- **Cash Margin / Retention Buffer:** First Loss Default Guarantee (FLDE) or cash margin (5% to 10%) deposited by the vendor to cover potential performance disputes or quality retentions.

5.2 Master Legal Documentation Suite

The master legal documentation framework governing PSU Vendor Financing includes:

Document Name	Executing Parties	Key Legal Clauses & Purpose
Tripartite Vendor Financing Agreement	Financier, PSU Anchor, Vendor	Master terms governing invoice upload, auto-discounting, and direct PSU settlement
Deed of Assignment of Actionable Claims	Vendor (Assignor), Financier (Assignee)	Legal transfer of invoice collection rights under Section 130 of Transfer of Property Act
Notice of Assignment & DDO Irrevocable Mandate	Financier, PSU DDO Treasury	Irrevocable instruction directing PSU treasury to remit invoice payments solely to Escrow
Escrow & TRA Agreement	Financier, Escrow Bank, Vendor	Establishes priority cash waterfall governing incoming PSU disbursements
Power of Attorney (POA)	Vendor in favor of Financier	Empowers financier to collect, recover, and enforce claims against the PSU upon default

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 6: Indicative Tenure, Pricing Structure & Cost Savings

6.1 Tenure Profiles

PSU Vendor Financing facilities are short-term, revolving lines matched to the operational billing cycle of the underlying PSU contract:

- **Tranche Maturity:** 30 Days to 180 Days per invoice tranche, matching the credit terms and administrative processing windows of PSUs.
- **Master Facility Validity:** 12 Months to 36 Months, renewable annually based on satisfactory account conduct and ongoing PSU PO renewals.

6.2 Pricing Equation and Interest Rate Dynamics

The all-in pricing for PSU Vendor Financing is significantly lower than un-negotiated business loans, driven by the PSU anchor's credit rating:

All-In Discount Rate = Benchmark Rate (RBI Repo / T-Bill) + PSU Anchor Credit Risk Spread + Platform Processing Fee

For Maharatna PSUs like BHEL or NTPC, all-in discounting rates range between 7.50% and 8.75% p.a., offering massive interest cost savings compared to traditional 14% - 18% cash credit limits.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 7: Suitable Industries, Business Profiles & Use Cases

PSU Vendor Financing is highly effective across major industrial sectors with heavy public sector procurement:

- **Defense & Aerospace Suppliers:** Sub-contractors and precision component manufacturers supplying to HAL, BEL, BDL, and Ordnance Factories.
- **Energy & Power Equipment Manufacturers:** Heavy machinery, turbine, transformer, and cable suppliers executing contracts for NTPC, BHEL, POWERGRID, and NHPC.
- **Railways & Heavy Engineering:** Structural steel fabricators, track component suppliers, and signaling contractors for Indian Railways, SAIL, and Coal India.
- **Oil & Gas Services:** Drilling equipment, pipeline fabricators, and maintenance contractors for ONGC, IOCL, BPCL, and HPCL.
- **General MSME Ancillaries:** Regional MSMEs supplying consumable spares, safety gear, IT hardware, and facility management services across CPSEs.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 8: Key Advantages and Structural Limitations

8.1 Core Advantages

- **1. Instant Cash Flow Acceleration:** Converts unpaid 90-day invoices into immediate cash within 24–48 hours, eliminating working capital bottlenecks.
- **2. Substantial Interest Savings:** Discounting rates linked to PSU credit quality (7.5%-9.5% p.a.) dramatically reduce interest expenses.
- **3. Zero Physical Collateral Demand:** Operates on invoice assignment without requiring land, building, or fixed deposit collateral.
- **4. Debt-Neutral Balance Sheet Expansion:** TReDS transactions provide non-recourse or limited-recourse funding, keeping the vendor's balance sheet clean.

8.2 Key Limitations and Operational Risks

- **1. Administrative Inspection Delays:** If PSU officers delay goods inspection or GRN generation, invoice upload onto discounting portals is postponed.
- **2. Deductions & Retention Risks:** If supplied goods fail quality tests, PSUs may impose commercial deductions or rejections, triggering margin calls on the vendor.
- **3. PSU Onboarding Dependency:** PSUs must be onboarded on TReDS or execute tripartite agreements; non-participating state PSUs restrict facility access.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 9: Comprehensive Real-World Case Study (INR 100 Crore Facility)

9.1 Corporate Background and Business Challenge

Vanguard Precision Engineering Pvt. Ltd. (VPEPL) is a Tier-1 precision engineering vendor based in Pune, supplying custom turbine components to Bharat Heavy Electricals Limited (BHEL - a Maharatna CPSE). VPEPL secured a major INR 120 Crore order from BHEL. However, BHEL's standard invoice processing and payment disbursement cycle averaged 90 to 120 days post-delivery.

With annual revenues of INR 150 Crores, VPEPL faced a severe cash flow crunch. Its existing Cash Credit (CC) limit of INR 15 Crores at 13.50% p.a. from a commercial bank was fully utilized. To execute the BHEL order, VPEPL needed INR 25 Crores in continuous revolving working capital to purchase raw alloy steel and pay worker wages. Raising additional collateralized bank debt was impossible as all factory land and machinery were already mortgaged.

9.2 PSU Vendor Financing Solution & TReDS Structuring

VPEPL leveraged the PSU Vendor Financing framework via the RXIL TReDS platform, where BHEL was an onboarded Maharatna CPSE anchor obligor:

- **1. Anchor Empanelment:** BHEL's treasury established an automated TReDS invoice confirmation line with participating banks.
- **2. Facility Setup:** VPEPL established an aggregate revolving invoice discounting limit of INR 100 Crores on RXIL.
- **3. Digital Invoice Approval:** Upon delivering monthly turbine shipments worth INR 10 Crores, BHEL verified quality and digitally approved the GRN on RXIL within 3 days.
- **4. Competitive Bidding:** Three scheduled commercial banks placed competitive bids ranging from 7.80% to 8.25% p.a. VPEPL accepted the winning bid at 7.80% p.a.
- **5. Liquidity Disbursement & Settlement:** The winning bank credited 90% (INR 9.00 Crores) directly into VPEPL's bank account within 24 hours. Upon Day 90 maturity, BHEL's treasury remitted 100% (INR 10.00 Crores) directly into the bank's Escrow Nodal Account.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

9.3 12-Month Financial Performance & Cash Waterfall Model

The table below details VPEPL's 12-month operational cash flow and interest savings model operating under the INR 100 Crore TReDS facility (Currency: Indian Rupees in Crores):

Month Tranche	BHEL Invoice Value	TReDS Discount Rate	Upfront Advance (90%)	Interest Cost (90 Days)	Net Surplus Released	Annualized CC Savings
Month 1	INR 10.00 Cr	7.80% p.a.	INR 9.00 Cr	INR 0.175 Cr	INR 0.825 Cr	INR 0.128 Cr
Month 2	INR 12.00 Cr	7.80% p.a.	INR 10.80 Cr	INR 0.211 Cr	INR 0.989 Cr	INR 0.154 Cr
Month 3	INR 15.00 Cr	7.75% p.a.	INR 13.50 Cr	INR 0.262 Cr	INR 1.238 Cr	INR 0.194 Cr
Month 4	INR 15.00 Cr	7.75% p.a.	INR 13.50 Cr	INR 0.262 Cr	INR 1.238 Cr	INR 0.194 Cr
Month 5	INR 18.00 Cr	7.70% p.a.	INR 16.20 Cr	INR 0.312 Cr	INR 1.488 Cr	INR 0.235 Cr
Month 6	INR 20.00 Cr	7.70% p.a.	INR 18.00 Cr	INR 0.346 Cr	INR 1.654 Cr	INR 0.261 Cr
Full Year Total	INR 100.00 Cr	7.75% Avg	INR 90.00 Cr	INR 1.744 Cr	INR 8.256 Cr	INR 1.291 Cr

Financial Impact Analysis: By utilizing PSU Vendor Financing at 7.75% p.a. instead of traditional Cash Credit at 13.50% p.a., VPEPL saved INR 1.291 Crores in direct interest costs annually. More importantly, immediate 24-hour liquidity enabled VPEPL to scale annual turnover from INR 150 Crores to INR 230 Crores without adding any physical mortgage collateral or incurring equity dilution.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 10: Legal Enforcement, Dispute Resolution & IBC Integration

10.1 MSME Samadhaan Portal & Delayed Payment Arbitration

If a PSU delays invoice payment beyond the statutory 45-day window mandated under Section 15 of the MSMED Act 2006, MSME vendors and discounting financiers possess statutory legal recourse:

- **MSME Samadhaan Portal:** Online filing of delayed payment claims against defaulting PSUs on the Ministry of MSME's digital portal.
- **Micro and Small Enterprises Facilitation Council (MSEFC):** Cases are referred to the statutory Council, which conducts mandatory conciliation and arbitration. Awards issued by MSEFC carry the force of a court decree.
- **Mandatory 75% Court Deposit:** Under Section 19 of the MSMED Act, no court can entertain an appeal by a PSU against an MSEFC award unless the PSU deposits 75% of the awarded amount in court upfront.

10.2 Insolvency and Bankruptcy Code (IBC 2016) Treatment

- **Bankruptcy Remoteness under Section 36(4):** Receivables assigned to a financier under a registered Deed of Assignment or TReDS transaction cease to be the vendor's asset. Under Section 18 and Section 36(4) of the IBC, assigned receivables are strictly excluded from the vendor's liquidation estate upon CIRP admission.
- **PSU Creditor Status:** In the unlikely event of a PSU entering corporate insolvency, the financier holds Financial/Operational Creditor claim status in the Committee of Creditors (CoC).

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Chapter 11: Rookie Mastery Examination (15 Test Q&As)

Q1: What is the primary credit basis underwritten in PSU Vendor Financing?

Answer: The primary credit basis is the sovereign or near-sovereign credit quality of the PSU corporate anchor (e.g., BHEL, NTPC), rather than the financial balance sheet or collateral strength of the MSME vendor.

Q2: What is the statutory payment deadline mandated for PSUs under Section 15 of the MSMED Act 2006?

Answer: Section 15 of the MSMED Act 2006 mandates that buyers, including PSUs, must make payment within the agreed period, which cannot exceed 45 days from invoice/goods acceptance.

Q3: What penalty applies to PSUs for payments delayed beyond 45 days under the MSMED Act?

Answer: Under Section 16, the PSU is statutorily liable to pay compounding interest with monthly rests at three times the RBI Bank Rate on the delayed payment amount.

Q4: What are the three RBI-regulated TReDS digital platforms in India?

Answer: The three central TReDS exchanges operating in India are RXIL (Receivables Exchange of India Ltd.), M1xchange (Mynd Solutions), and Invoicemart (A.TREDS).

Q5: How does Reverse Factoring differ from traditional Direct Vendor Discounting?

Answer: In Reverse Factoring, the PSU anchor directly uploads/approves accepted invoices on the digital portal, enabling financiers to bid competitively and advance non-recourse funds. Direct Vendor Discounting is initiated by the vendor submitting RA bills with DDO assignment notices.

Q6: What is the mandatory time frame for CERSAI registration under the Factoring Regulation Act 2021?

Answer: Every factoring transaction or invoice assignment must be registered on the CERSAI portal within 13 days of execution to establish legal priority.

Q7: Why are interest rates on PSU Vendor Financing significantly lower than Cash Credit facilities?

Answer: Rates are lower (7.50%-9.50% p.a. vs 13%-18% p.a.) because credit risk is benchmarked against AAA/AA-rated PSU anchors rather than unrated MSME balance sheets.

Q8: What legal document transfers invoice collection rights from the vendor to the financier under Indian law?

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.

Answer: The Deed of Assignment of Actionable Claims executed under Section 130 of the Transfer of Property Act, 1882.

Q9: What is the function of an Escrow Nodal Account in PSU Vendor Financing?

Answer: It ring-fences cash flows by ensuring 100% of PSU bill disbursements are remitted directly to a lender-controlled account to satisfy discounting debt before releasing residual surplus to the vendor.

Q10: What is the Public Procurement Policy mandate for CPSEs regarding MSE procurement?

Answer: Central Public Sector Enterprises (CPSEs) are statutorily mandated to procure a minimum of 25% of their total annual purchases from Micro and Small Enterprises (MSEs).

Q11: Are physical land or building mortgages required for securing PSU Vendor Financing?

Answer: No. PSU Vendor Financing is an asset-light, cash-flow-backed product secured primarily by invoice assignments, DDO notices, and escrow ring-fencing.

Q12: What protection does a vendor receive under TReDS if a PSU delays final payment?

Answer: Discounting on TReDS is structured on a non-recourse basis to the MSME vendor, protecting the vendor from subsequent PSU administrative delays.

Q13: Under the MSMED Act Section 19, what deposit is required for a PSU to appeal an MSEFC award?

Answer: A PSU must deposit 75% of the awarded amount in court upfront before any court can entertain an appeal against an MSEFC arbitration award.

Q14: How are assigned receivables treated under Section 36(4) of the IBC 2016 if a vendor enters CIRP?

Answer: Receivables legally assigned to a financier are excluded from the vendor's liquidation estate, achieving complete bankruptcy remoteness.

Q15: What document registers charge creation on company receivables with the Registrar of Companies?

Answer: ROC Form CHG-1, filed within 30 days of execution under Section 77 of the Companies Act, 2013.

Copyright Notice: © 2026 www.loanbazaaronline.com. All rights reserved.